COMMERCIAL AUTO UNDERWRITING GUIDELINES

Underwriting guidelines

Our Underwriting Guidelines give you a detailed look at complex Commercial Auto underwriting scenarios. You should use your state product guide when you have questions about Commercial Auto coverage, limits, and processes, and use these Underwriting Guidelines for a more comprehensive approach to program appetite and acceptability.

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PROGRESSIVE COMMERCIAL

Acceptability and Appetite

Write the right risks, the right way

Progressive offers a rated Commercial Auto product, which allows you to quote and bind in minutes on ForAgentsOnly.com (FAO). However, we do audit bound policies for compliance with our underwriting and binding standards. Avoid post-audit policy actions, including cancellations or uprates, by making all your producers familiar with these guidelines.

Target these commercial risks

Our target risk for Trucking policies is an owner-operator or small fleet with a stable list of well-maintained vehicles and experienced drivers. We welcome legitimate new ventures and nearly every type of trucker.

If the policy has an MCS-90 endorsement (usually corresponding with interstate operating authority), the motor carrier must schedule all commercially owned or operated vehicles on the policy, and should not have a history of unlisted vehicles running under their authority.

Some trucking risks are unacceptable

Unacceptable risks include:

- Motor carriers with a poor operating history, especially with regard to federal safety inspection results. In most states, our quoting system will determine eligibility upon entry of the USDOT Number. Failure to enter the USDOT Number can lead to policy cancellation. Your best bet? Verify the USDOT number before you even start the quote to save time. Simply enter the USDOT number at the prompt on the Start screen of the quote or enter the carrier name or USDOT number in the FMCSA's SAFER website (https://safer.fmcsa.dot.gov/CompanySnapshot.aspx).
- A motor carrier that has "recreated" itself to hide a poor safety history ("chameleon carriers"), often by obtaining a new USDOT Number.
- A motor carrier whose entire operation has been placed "out of service" by an FMCSA enforcement action.
- Risks with a history of employing numerous short-term leases and vehicle churn.
- Entities that share vehicles and/or a filing with one or more related entities.
- Motor carriers that exhibit large swings in the number of power units operated—especially newer ventures with rapid growth early in the policy period.
- Prior Progressive customers whose previous policies had underwriting issues.
- Customers who are currently insured by Progressive Commercial. (To take over an existing policy, an Agent/Broker of Record change must be obtained and submitted.)
- Some in-force policies are ineligible for coverage beyond the current policy period, and will receive nonrenewal notices. Renewal ineligibility can be due to factors such as excessive claims, poor payment behavior, or violations of Underwriting Guidelines in the current policy period.
- See your state's product guide for additional unacceptable risks and coverages.

If we determine a risk is unacceptable, we will cancel the policy or remove the unacceptable coverage during the free look period, or outside of free look where applicable.

Be aware of temporary business restrictions

We may need to add some restrictions to business classes, bill plans, or other aspects of the product to remain a stable, long-term source of coverage countrywide. Our system is designed to make quoting easy and will let you know if a new business restriction affects a risk you're quoting. We'll also post any new business restrictions to the State Updates and Progressive News pages in FAO when implemented.

Process

Follow the right process to avoid audit

First, check the USDOT number on the Start screen of the quote to see if there are any rating recommendations. Once you determine that a risk meets our above acceptability criteria, your next step is to write the policy correctly without triggering an audit. Here are tips and training to help you avoid a post-bind audit when quoting on FAO.

SAFER is your best resource for USDOT risks

If the business has a vehicle with a USDOT number, enter the USDOT number on the Start screen of the quote. If USDOT information is not found, verify the number in the SAFER system on the FMCSA website (https://safer.fmcsa.dot.gov/CompanySnapshot.aspx) using the carrier name. Resolve any issues with the customer, including:

- **For-hire authority in SAFER**. A company that shows an operating classification of For Hire (Authorized or Exempt) in SAFER should be rated as for-hire in our program. Exceptions to this would require proof of actual business operation as part of a policy audit.
- **A new USDOT Number**. Motor carriers sometimes recreate their operation in an attempt to hide a poor safety record ("chameleon carriers"). If your client has obtained his or her USDOT Number recently but claims to be an established operator, ask about any prior authorities. We judge an account's acceptability on their entire operating history, not just that of the current USDOT Number.
- **Insuring significantly fewer vehicles than reported in SAFER**. For risks with an MCS-90 endorsement, all commercially owned or operated vehicles must be listed on our policy. This includes vehicles under permanent or short-term lease. If SAFER shows the motor carrier operating many more power units than they wish to insure, do not write a policy with a filing for them. They may be operating vehicles that won't be listed on the policy, or they're attempting to get coverage for a larger fleet in our regular program. (Remember that fleets of 10 or more power units must be reviewed by our Fleet department before binding.)
- **Insuring fewer drivers than reported in SAFER, or fewer drivers than vehicles**. Having a vehicle without a driver can be a red flag, as is a pointed driver that is quoted but removed before the policy is bound. All drivers must be listed at time of quote to avoid delays in coverage due to possible fraud or misrepresentation.
- **Garaging address different from SAFER business address**. If vehicles are garaged at a location different from the official business address, retain proof of garaging address such as a rental agreement. A driver with an out-of-state license is acceptable as long as all vehicles are regularly garaged in the policy state.
- **A new venture claiming a local radius of operation**. We require all for-hire risks with a USDOT Number less than one year old and a federal filing to have a minimum radius of operation of 500 miles. If a new venture is written with a shorter radius and a filing is requested after bind, we'll increase the radius to 500 miles. However, if the insured has mileage logs showing three months of operating in a shorter radius, we'll lower the radius to that indicated by the logs.
- **Risks requiring the Uniform Intermodal Interchange and Facilities Access Agreement, often called the UIIA endorsement**. These are unacceptable in our program, because many risks requiring the UIIA are larger fleets or brokers that use hired autos that they don't want to list on the policy.

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Choosing the correct business class

It's critical to put a risk in the correct business class to get the proper rate and to avoid a policy audit. Review the Business Class Tip Sheet for help with the most frequently misclassified business types.

Choosing the correct vehicle type

Selecting the proper vehicle type is also essential for accurate rating. In certain cases, we ask for photos to validate the type of vehicle being insured. Here are some tips:

- Vehicles identified as Truck Tractors in federal or state safety inspections should be rated as Truck Tractors on our policies.
- Vehicles that have a bed that tilts for loading an auto should be entered as Car Carriers. They should not be entered as Flatbeds if the bed tilts to accommodate the load.
- Dump trucks used to haul dirt, sand, gravel, and other aggregates should not be classified as Ag Hoppers, but rather as Dump Trucks with the proper GVW designation.
- Pick-up trucks with a gooseneck hitch (or "fifth-wheel") in the bed, which are typically used to tow autos, need to be rated with the appropriate hitch type. Also, due to system limitations, the larger pickups of this type have to be rated internally by Customer Service. They include the Ford F450/550/650, and the Chevy or Dodge 4500/5500/6500. Call us to have these vehicles quoted.
- Remember, vehicles designed principally for use off public roads (e.g., bulldozers, farm machinery, forklifts, mobile equipment, etc.) are not acceptable in our program. See the state product guide for a list of unacceptable vehicle types and uses.

Ordering Financial Responsibility (FR)

- For closely-held corporations and partnerships, order FR on the business principal most involved in the daily operation of the insured business. If multiple individuals are equally involved, choose one and order only on that individual.
- For sole proprietors, order FR only on the primary named insured.

Once FR is returned successfully for an individual, don't order FR on a different person for the same entity or start a new quote for the same risk to order FR on a different person.

Driver guidelines

Insureds are required to list any individual who drives (or is expected to drive) an insured vehicle, in any capacity, during the policy period. Such individuals must be either rated drivers or—where available—excluded from coverage.

NTL Coverage Eligibility

Non-Trucking Liability (NTL) is for a customer under permanent lease to a motor carrier who provides the primary liability coverage. NTL provides liability coverage for the listed vehicle for non-business, personal use.

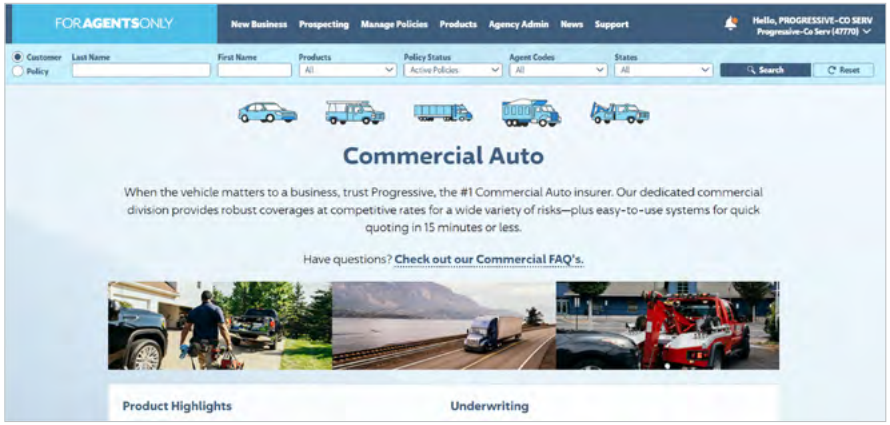
Complete the NTL Checklist to see if your customer is eligible for NTL coverage.

Training

Learn more about the risks we write and how they can help your agency grow

We designed training resources to clarify our truck appetite, share our underwriting expectations, and review common audit triggers so you can confidently market, quote, and sell trucking risks. See more on the Commercial Lines Training 101 and Commercial Auto pages on FAO.

Commercial Lines Training 101 page



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